



**SERVICE LEVEL AGREEMENT ENTERED INTO IN TERMS OF THE SUPPLY CHAIN
MANAGEMENT POLICY OF THE CITY OF TSHWANE**

Entered into between

THE CITY OF TSHWANE METROPOLITAN MUNICIPALITY

EMERGENCY SERVICES DEPARTMENT

(Represented by Mr. Moshema P Mosia in the capacity as

Chief of Emergency Services, duly authorized thereto)

AND

SITHEMBE TRANSPORTATION AND PROJECTS

Registration number: 2013/029173/07

SERVICE LEVEL AGREEMENT

Entered into between

THE CITY OF TSHWANE METROPOLITAN MUNICIPALITY

a municipality as described in section 2 of the Local Government: Municipal Systems Act, 2000 and as contemplated in section 155 of the Constitution of the Republic of South Africa, 1996 as a category A municipality, or the Assignee, if applicable, herein represented by **Mr. Moshema P Mosia** in *his* capacity as **Chief of Emergency Services** duly authorised thereto and who by his/her signature hereto warrants that he/she is properly authorised to sign this Agreement.

(Herein referred to as the “**CITY**”)

AND

SITHEMBE TRANSPORTATION AND PROJECTS

Registration Number: 2013/029173/07

Herein represented by _____, in his/her capacity as _____ duly authorised thereto under and by virtue of a resolution of the Board passed on _____, a copy of which is annexed as “Annexure A”, and who by his/her signature hereto warrants that he/she is properly authorised to sign this Agreement

(Herein referred to as the “**SERVICE PROVIDER**”)

CONTENT

1	DEFINITIONS	6
2	INTERPRETATION.....	8
3	APPOINTMENT	8
4	PURPOSE OF THE AGREEMENT	8
5	RELATIONSHIP.....	10
6	DURATION	9
7	CONTACT PERSON.....	9
8	SCOPE OF GENERAL SERVICES.....	111
9	PRICE AND PAYMENT	11
10	SERVICE LEVELS.....	13
11	WITHHOLDING OF PERFORMANCE	13
12	PENALTY	14
13	ACCESS	14
14	DELIVERY OF GOODS	15
15	DEFECTIVE GOODS / LATENT PRODUCTS	16
16	AMENDMENT OR CANCELLATION OF PURCHASE ORDER	16
17	INSPECTION	17
18	SITHEMBE TRANSPORTATION AND PROJECTS PERSONNEL	18

19	SUB-CONTRACTING	23
20	CONFIDENTIALITY	24
21	INTELLECTUAL PROPERTY RIGHTS.....	24
22	DISPUTES	26
23	LAWS AND JURISDICTION	26
24	NOTICES AND COMMUNICATIONS	27
25	GENERAL AND MISCELLANEOUS	28
26	EXECUTION	29

RECORDAL:

WHEREAS the City requires the supply and delivery of rope rescue equipment and accessories to be delivered at the service areas;

AND WHEREAS the City wishes to appoint **SITHEMBE TRANSPORTATION AND PROJECTS**

as a service provider;

AND WHEREAS the service provider wishes to provide such services;

AND WHEREAS the service provider has indicated that it has the necessary expertise, skills and capabilities to provide the service;

NOW THEREFORE the Parties have agreed to enter into this Agreement, in terms of which **SITHEMBE TRANSPORTATION AND PROJECTS** shall provide in the Service Areas and/or Delivery Area to the City in accordance with the terms and subject to the conditions of this Agreement:

1 DEFINITIONS

Unless otherwise expressly stated, or the context otherwise requires, the words and expressions listed below shall, when used in this Agreement, including this introduction, bear the meanings ascribed to them:

- 1.1 **“Agreement”** means this service level agreement and shall include any annexures and/or schedules and/or attachments and/or appendices and/or any addenda hereto or incorporated herein by reference, as amended from time to time;
- 1.2 **“Business Day”** means any day from Monday to Friday excluding Public Holidays as defined in the Public Holidays Act 36 of 1994 (“Public Holidays Act”) as amended from time to time;
- 1.3 **“Business Week”** means five consecutive Business Days, excluding Public Holidays as defined in the Public Holidays Act;
- 1.4 **“Chief of Emergency Services”** means the person appointed as the Chief Fire Officer and Head of Centre as referred to in Section 5 (1) of the Fire Brigade Services Act, (Act. No 99 of 1987) and Section 45 (1) of the Disaster Management Act (Act. No 57 of 2002), respectively.
- 1.5 **“Chief Audit Executive”** means the person appointed by the City of Tshwane Municipal Council in terms section (56) of the Local Government: Municipal Systems Act, No. 32 of 2000 to head the Internal Audit Unit.
- 1.6 **“City”** means the City of Tshwane Metropolitan Municipality, a metropolitan municipality established in terms of section 12 of the Local Government: Municipal Structures Act 117 of 1998;
- 1.7 **“City Manager”** means the Municipal Manager of the City of Tshwane as referred to in Section 55 of the Municipal Systems Act, (Act. No 32 of 2000)
- 1.8 **“Commencement date”** shall be the date when the Agreement is signed by all parties.

- 1.9 **“Contact Persons”** means persons identified by the Parties as persons who are responsible for the execution of the Agreement and whose names are set out in the Annexures A1 and A2 and who can be substituted in writing from time to time;
- 1.10 **“Contract Price”** shall mean the amount reflected as the contract price in clause 9 below;
- 1.11 **“Contract Period”** means the contract period as reflected on Annexure B;
- 1.12 **“Department”** Tshwane Emergency Services Department;
- 1.13 **“Effective Date”** means the signature Date;
- 1.14 **“ESD”** means Emergency Services Department;
- 1.15 **“Goods”** shall mean the Services related goods to be procured by ESD from time to time, including supply and delivery of rope rescue equipment and accessories;
- 1.16 **“Intellectual Property”** means Patents, Designs, Know-How, Copyright and Trade Marks and all rights having equivalent or similar effect which may exist anywhere in the world, introduced and required by either Party to give effect to their obligations under this Agreement, owned in whole or in part by, or licensed to either Party prior to the Commencement Date or developed after the Commencement Date, and includes all further additions and improvements to the Intellectual Property, otherwise pursuant to this Agreement;
- 1.17 **“Month”** means a calendar month;
- 1.18 **“Parties”** means Department <<department>> and Service Provider and “Party” means either of them as the context requires;
- 1.19 **“Services”** means services to be provided by the Service Provider to the Department as detailed in clause 8 below,
- 1.20 **“Service Provider”** means **SITHEMBE TRANSPORTATION AND PROJECTS**, a company duly incorporated in accordance with the

company laws of the Republic of South Africa with company registration number **2013/029173/07**;

- 1.21 **“Signature Date”** means the date of signature of this Agreement by the Party signing last;
- 1.22 **“Subcontract”** means any contract or agreement or proposed contract between the Service Provider and any third party whereby that third party agrees to provide to the Service Provider the Services or any part thereof;
- 1.23 **“Subcontractor”** means the third party with whom the Service Provider enters into a Subcontract;
- 1.24 **“Tax Invoice”** means the document as required by section 20 of the Value Added Tax Act 89 of 1991, as amended from time to time; and
- 1.25 **“Tender”** means << **ES 06-2023/2024: Tender for supply and delivery of rope rescue equipment and accessories to the City of Tshwane Emergency Services Department for a period of three (3) years: as and when required.**
- 1.26 **“VAT”** means Value Added Tax as defined in terms of the Value Added Tax Act of 1991.

2 INTERPRETATION

- 2.1 Headings and sub-headings are inserted for information purposes only and shall not be used in the interpretation of this Agreement.
- 2.2 Unless the context clearly indicates a contrary intention, any word connoting:
 - 2.2.1 any singular shall be deemed to include a reference to the plural and vice versa;
 - 2.2.2 any one gender shall be deemed to include a reference to the other two genders; and
 - 2.2.3 a natural person shall be deemed to include a reference to a legal or juristic person.

- 2.3 The expiry or termination of this Agreement shall not affect provisions of this Agreement which expressly provide that they will operate after any such expiry or termination of this Agreement. Provisions of necessity shall continue to have been effective after such expiry or termination of this Agreement, notwithstanding that the clauses themselves do not expressly provide for this.
- 2.4 The rule of interpretation that a written agreement shall be interpreted against the party responsible for the drafting or preparation of that Agreement shall not apply.
- 2.5 Where figures are referred to in numerals and in words and there is any conflict between the two, the words shall prevail.
- 2.6 Any reference to any legislation is a reference to such legislation as at the Signature Date and as amended or re-enacted, from time to time.
- 2.7 If any provision in a definition is a substantive provision conferring any rights or imposing any obligations on any party, then notwithstanding that, it is only in this interpretation clause, effect shall be given to it as if it were a substantive provision in this Agreement.

3 APPOINTMENT

The Department hereby appoints the Service Provider, who accepts such appointment, to provide the Services in accordance with the terms and subject to the conditions of this Agreement.

4 PURPOSE OF THE AGREEMENT

- 4.1 The Purpose of this Agreement is to:
- 4.1.1 formalise and regulate the working relationship between the Parties;
 - 4.1.2 set out the roles and responsibilities of the Parties; and
 - 4.1.3 define process and procedures to be followed by the Parties.

5 RELATIONSHIP

Nothing in this Agreement shall constitute or be deemed to constitute a partnership or joint venture between the Parties. Furthermore the Service Provider acknowledges and agrees that its status under this Agreement is that of an independent service provider and its status shall in no way be deemed to be that of an agent or employee of the Department, for any purpose whatsoever, and the Service Provider shall have no authority or power to bind the Department or to contract in the name of the Department, or create a liability against the Department in any way or for any purpose.

6 DURATION

This Agreement shall commence on the Effective Date and shall subsist for 36 months, unless terminated earlier.

7 CONTACT PERSON

7.1 The work to be performed by the Service Provider hereunder will be supervised by the ESD Contact Person.

7.1.1 Divisional Chief: Dr Robin Charles

Emergency Services

Headquarters, c/o Government Avenue and Beckett Street, Arcadia, Pretoria

Telephone: 012 358 2237/ 084 503 5695

Email: robinc@tshwane.gov.za

7.2 The Parties shall notify each other, in writing from time to time, of the details of their nominated Contact Person.

7.3 The Contact Persons shall liaise and update each other on the progress of the Services rendered and shall endeavour to resolve and remedy any problems or disputes that may arise in relation to the Services.

- 7.4 Either Party may substitute a Contact Person at its discretion provided that each Party shall give the other Party reasonable notice of such substitution and will provide replacement employees of equivalent ability.
- 7.5 Without derogating from the foregoing, should either Party replace a Contact Person for any reason whatsoever, it shall ensure, to the greatest extent possible in the circumstances, that the suitable period of hand-over and overlap takes place, at its cost, between the new and the encumbered Contact Person.
- 7.6 Failure by any of the parties to strictly observe clauses 7.1 to 7.4 shall constitute a breach of this agreement.

8 SCOPE OF GENERAL SERVICES

- 8.1 The Service Provider shall, for the duration of this Agreement, provide the Services set out below, including but not limited to:

ITEM	MATERIAL NO.	DESCRIPTION
2	200000035133	Waist harness for rope access and rescue applications
22	200000035153	Rescue pulley, sealed bearings
23	200000035154	Rigging plate
25	200000035156	Patient tie-in system

9 PRICE AND PAYMENT

- 9.1 The Department shall pay to the Service Provider a Contract Price of an item as reflected in the appointment letter of the Service Provider.
- 9.2 All payments under this Agreement shall be made by electronic fund transfer or other forms of payment as the Parties may agree from time to time, upon receipt of valid and undisputed Tax Invoices and month-end

statements together with the supporting documentation from the Service Provider, once the undisputed Tax Invoices or such portion of the Tax Invoices which are undisputed become due and payable.

- 9.3 All amounts and other sums payable in terms of this Agreement and Schedules hereto will be stipulated exclusive of VAT, unless expressly stated otherwise.
- 9.4 Unless otherwise provided in the Schedules, valid Tax Invoices shall be submitted together with a month-end statement. Payment against such month-end statement shall be made by The Department within 30 (thirty) days after the date of receipt by The Department of the Service Provider's statement together with the relevant valid and undisputed Tax Invoice(s) and supporting documentation, but in any event not later than 90 (ninety) days of receipt of such statement.
- 9.5 Where the payment of any valid and undisputed Tax Invoice, or any part of the said Tax Invoice which is not in dispute, is not made by the due date, the Service Provider shall be entitled to charge interest on the outstanding amount, at the prime rate of interest in force, for the period from the due date of payment until the outstanding amount is fully paid.
- 9.6 There shall be no interest levied on a Tax Invoice that is in dispute between the Parties.
- 9.7 The Department shall pay the amount reflected on a Tax Invoice once the Department's Contact Person has verified that the Services set out in a schedule have been rendered and the Tax Invoice amount has been approved by the Department.
- 9.8 All Tax Invoices shall be addressed to the Department' Contact Person.
- 9.9 All payments shall be transferred, by the Department to the Service Provider electronically into the Service Provider's bank account, the details of which are set out below:

Bank: _____

Account type: _____

Account No: _____

Branch No: _____

- 9.10 Failure to comply with the clauses above may result in late payment of the total amount of an invoice by the Service Provider to the Department. The Department shall not be liable for any costs or damages suffered by the Service Provider as a result of such late payment.

10 SERVICE LEVELS

- 10.1 The Service Provider recognises that the Department has entered into this Agreement relying specifically on the Service Provider's representations regarding service levels including, *inter alia*:
- 10.1.1 capacity allocations in accordance with the Service to be provided;
 - 10.1.2 all work to be performed and Services rendered under this Agreement shall comply with industry norms and best practice acceptable within the Services industry and shall be executed by the Service Provider to the total satisfaction of the Department.
- 10.2 The Service Provider shall provide suitably qualified and trained employees to provide the Services to the Department in terms of this Agreement, and shall allocate, in its discretion employee resources in accordance with the technical skill and knowledge required, provided that any exercise of such discretion by the Service Provider shall not negatively impact on the provision of the Services by the Service Provider to the Department, and shall allocate employees with the technical skill and knowledge onsite at the Department at all times during normal working hours, if the Department so requires.
- 10.3 Amongst others, the Service Provider shall comply with and provide the Services as set out in clause 80 above.

11 WITHHOLDING OF PERFORMANCE

The Service Provider may not under any circumstances, including, without limitation, non-payment by the Department, withhold any Services or Goods from The Department during the currency of this Agreement, unless it validly terminates this Agreement.

12 PENALTY

12.1 Should the Service Provider fail to comply with its obligations in terms of this Agreement, the Department may:

12.1.1 exercise its rights in terms of clause 11; alternatively.

12.1.2 without derogating any of the Municipality's rights in law, impose a penalty equal to twice the amount of damage or potential damage which was caused because of the Service Provider not fulfilling in terms of this contract.

12.2 An election of any of the above by the Department shall not mean that the Department has waived any other rights which the Department might have in law.

12.3 Should the Department elect to impose a penalty on the Service Provider, the Department shall provide the Service Provider with a written notice requiring the Service Provider to remedy the default within 7 (seven) days from the date of delivery of the notice.

12.4 Should there be a dispute as to whether the failure to deliver was caused by the Department or was the Service Provider's fault such dispute shall be dealt with in accordance to clause 24 below.

13 ACCESS

13.1 The Department shall allow the Service Provider reasonable access to its premises, provided that:

13.1.1 access is related to the Services to be provided by the Service Provider; and

- 13.1.2 the Service Provider adheres to all rules, regulations, and instructions applicable at the department's premises.
- 13.2 The Service Provider is required to notify ESD monthly of employees who are to provide Services at the Service Areas and/or Delivery Areas.
- 13.3 The Department shall grant the Service Provider and/or its employees, referred in clause 19 below, access to its premises to perform its obligations in terms of this Agreement.
- 13.4 The Service Provider and its employees shall always when entering the premises and/or Service Areas and/or Delivery Areas of the Department comply with all rules, laws, regulations and policies of the City.

14 DELIVERY OF GOODS

- 14.1 The Service Provider shall deliver the Goods on the Delivery Date.
- 14.2 Should the Service Provider be unable to deliver the Goods on the Delivery Date, the Service Provider shall inform the Department of its inability to deliver the Goods, the reason thereof, and shall provide the Department with a reasonable alternative Delivery Date which in any event shall not be more than 14 (fourteen) days from the original Delivery Date.
- 14.3 In the event that the Service Provider is unable to deliver the Goods on the Delivery Date 3 (three) times in a period of 6 (six) months, then the Department shall be entitled to terminate this Agreement by giving the Service Provider one (1) month's written notice to terminate.
- 14.4 Upon delivery of the Goods by the Service Provider, the Department's contact person shall sign the delivery document provided by the Service Provider as acknowledgement of receipt of the Goods. Such acknowledgement of receipt shall not constitute an acceptance:
 - 14.4.1 that the Goods were received in good condition;
 - 14.4.2 that the Goods were free of any defects;

14.4.3 that the Goods were fit for the purpose for which they were purchased; and/or

14.4.4 of any terms and conditions of the delivery document.

14.5 In the event that the Department notifies the Service Provider, within five (5) Business Days, that the Goods delivered are not in accordance with the order, the Department shall be entitled to return the Goods to the Service Provider at the Service Provider's cost and the Service Provider shall deliver the replacement Goods ordered within five (5) Business Days of taking delivery of the defective Goods.

15 DEFECTIVE GOODS / LATENT PRODUCTS

15.1 The Service Provider shall verify whether the Goods received are in order and without any defects.

15.2 If the Department realises that the Goods have any defect, including but not limited to manufacture and/or latent defects, the Department shall inform the Service Provider in writing within 5 (five) days of becoming aware of the defect ("Notice of Defect").

15.3 Upon receipt of the Notice of Defect, the Service Provider shall immediately deliver replacement Goods to the Department within 14 (fourteen) Business Days of receiving the Notice of Defect referred to in clause 15.2 above and replace the defective goods.

15.4 The cost of returning and replacing the defective Goods shall be borne by the Service Provider.

15.5 The Service Provider shall be responsible for the replacement amount of any parts of the Goods that are to be replaced in terms of this Agreement.

16 AMENDMENT OR CANCELLATION OF PURCHASE ORDER

The Department is entitled to cancel an order, reschedule delivery of the Goods or change the Delivery Area and Delivery Date on fourteen (14) days written notice to the Service Provider.

17 INSPECTION

- 17.1 The Department may at any time inspect the Goods and/or Services levels of the Service Provider in terms of this Agreement.
- 17.2 If the Department is, at any time, dissatisfied with the service levels then the Service Provider shall, within 7 (seven) days, notify the Service Provider in writing of the failure or default.
- 17.3 The Service Provider shall immediately upon receipt of written demand by the Department, remedy such failure or default, within 7 (seven) Business Days from the date of receipt of the notice, free of charge.
- 17.4 Should the Service Provider fail to remedy the failure or default referred to above then the Department shall have the right to impose penalties as provided for in clause 11 above.

17.4.1 To enable the Department to determine whether the Goods and/or Services rendered in terms of this Agreement are being complied with the Service Provider shall:

- 17.4.1.1 provide the Department with such information as it may reasonably require;
- 17.4.1.2 allow the Department to inspect and take copies of any records of the Service Provider relating to the Goods and/or Services, including all hardware, software, data, information, visuals, procedures, event logs, transaction logs, audit trails, books, records, contracts and correspondence to the extend allowed by data privacy;
- 17.4.1.3 allow the Department or its authorised representatives to conduct interviews with any of the Service Provider's employees, subject to reasonable notice being given to the Service Provider.

17.5 Service Provider to Provide Reasonable Assistance

17.5.1 Where any information is required for inspection in terms of this clause and the information is kept in a computer, the Service Provider shall give the Department reasonable assistance required to facilitate inspection and obtain copies of the information in a visible and legible form or to inspect and check the operation of any computer and any associated apparatus or material that is or has been in use in connection with the keeping of the information.

17.5.2 Any information required to be provided to the Department pursuant to clause 23 below shall be provided by the Service Provider, in such form (including a form otherwise than in writing) as the Department may reasonably specify.

17.5.3 The cost of any inspection contemplated in terms of this clause shall be for the account of the Department unless any material irregularity or failure on the part of the Service Provider is determined by ESD during such inspection.

17.6 The inspection contemplated in this Agreement will be conducted:

17.6.1 during normal business hours;

17.6.2 save where the circumstances justify it, on reasonable notice to the Service Provider; with the minimum interference in the provision of the Goods and/or Services and the Service Provider's other operations.

18 SERVICE PROVIDER'S WARRANTIES

18.1 Service Warranties

18.1.1 The Service Provider warrants that in relation to each Service provided in terms of this Agreement:

INDEMNITIES

- 18.1.1.1 it has full capacity and authority to enter into and perform this Agreement, and that this Agreement is executed by duly authorised representatives of the Service Provider;
- 18.1.1.2 it possesses or has access to the requisite knowledge, skill and experience to provide the Services in an expert manner;
- 18.1.1.3 it will discharge its obligations under this Agreement and any annexure, appendix or Schedule hereto with all due skill, care and diligence;
- 18.1.1.4 all work performed and Services rendered under this Agreement shall comply with prevailing practice, standards and specifications within the industry;
- 18.1.1.5 it will be solely responsible for the payment of remuneration and associated benefits, if any, of its Personnel and for withholding and remitting income tax for its Personnel in conformance with any applicable laws and regulations;
- 18.1.1.6 the use or possession by The Department of any Materials will not subject The Department to any claim for infringement of any Intellectual Property Rights of any third party;
- 18.1.1.7 with promptness and diligence and in a skilful manner and in accordance with the practices and professional standards of operations while performing Services and/or delivering Goods and/or similar to the Services and/or Goods;
- 18.1.1.8 which Services and/or Goods will in all aspects comply with industry norms and best practice to the satisfaction of the Department with regard to materials and workmanship;

- 18.1.1.9 using and adopting any standards, processes and procedures required under this Agreement;
- 18.1.1.10 warranting that it shall employ suitably qualified and trained employees to provide the Services and/or Goods to the Department and it shall allocate employees in accordance with the technical skill and knowledge required;
- 18.1.1.11 free from any defects in material and workmanship;
- 18.1.1.12 maintaining and causing to be maintained the highest standard of workmanship and care in undertaking the Services and/or processing the Goods;
- 18.1.1.13 maintaining and caused to be maintained the highest standard of care and diligence in providing the Services, maintenance and support;
- 18.1.1.14 ensuring that all applicable laws are observed;
- 18.1.1.15 without derogating from the generality of the a foregoing, strictly adhering to any or all laws, regulations and accepted procedures with regard to health, hygiene and the maintaining of the environment in the manufacture, packaging, labelling, identification, storage and transportation of the Goods.
- 18.1.1.16 guaranteeing that the Goods shall be in good working condition for the warranty and/ or maintenance period of the Goods, and that the Service Provider shall be responsible for the costs of repair of the Goods should the Goods require to be repaired to their normal use.

18.2 Indemnity

- 18.2.1 The Service Provider hereby indemnifies the Department against any claim which may be brought against the Department by the Service Provider's personnel or a third

party arising from the execution of this Agreement alternatively which arises against the Department as a result of the Service Provider's breach of any of the provisions of this Agreement, provided that the Department shall notify the Service Provider in writing within a reasonable time, and in any event not less than 14 (fourteen) Business days of the Department becoming aware of any such claim to enable the Service Provider to take steps to contest it and shall provide the Service Provider with such reasonable assistance as may be necessary to enable the Service Provider to defend the claim to the extent only that it is in a position to render such assistance. The Service Provider may, within 5 (five) Business Days of receipt of written notice from the Department aforesaid, elect in writing to contest such a claim in the name of the Department and shall be entitled to control the proceedings in regard thereto, provided that the Service Provider indemnifies the Department against all and any costs (including attorney and own client costs) which may be incurred or awarded against the Department as a consequence of the claim.

18.3 Liability for Criminal Acts of Employees

The Service Provider shall not be liable to the Department for any loss that the Department or any third party may suffer as a result of theft, fraud or other criminal act of any employee of the Service Provider which arises within the course and scope of such employee's employment with the Service Provider. The Service Provider may lay criminal charges against the employee who commits such criminal act and may exercise all legal rights against such employee. The Service Provider will provide all assistance required to the Department when it brings such criminal charges against the employee.

18.4 Character of Employees

18.4.1 Due to the confidential nature of certain aspects of the Service Provider and the position of trust which the Service Provider's employees will fulfil, the Service

Provider hereby undertakes to use its best commercial endeavours to ensure that it only assigns to the Department employees who are fit and proper persons and who display the highest standards of personal integrity and honesty and who have not, being convicted of any crime.

18.4.2 The Service Provider shall, at its own cost, conduct all reasonable background checks into members of its employees prior to utilizing same to provide the Services in terms of this Agreement.

18.5 The Department shall conduct all reasonable background checks into the Service Provider's employees from time to time, where it deems it necessary to do so.

18.6 **The Service Provider shall comply with all employment legislation.**

18.6.1 The Service Provider warrants that it has full knowledge of all relevant statutory, collective, and other stipulations applicable to the relationship with its personnel and its relationship with the Department. This includes, but its not limited to, the Labour Relations Act, the Basic Conditions of Employment Act 1977, the Employment equity Act, 1998 and any other applicable employment legislation currently in force.

18.6.2 The Service Provider warrants further that it is not and will not in future be in contravention of any of the provisions of any such legislation and in the event of such contravention, the Service Provider shall immediately take all steps to remedy such contravention. If the Department advises the Service Provider of any contravention of such legislation in writing, the Service Provider shall, within 10 (ten) days after receipt of such notice, take all steps necessary to remedy such contravention and shall keep the Department informed regarding the steps taken and the implementation and the result thereof.

18.7 No Employment

The Service Provider warrants that none of its personnel shall be regarded as employees of the Department. The Service Provider shall assist to defend and bear all costs in the event that the Department is required to defend a claim, whether civil or employment related, instituted against it by the Service Provider's personnel should the Department defend the matter, the Service Provider hereby indemnifies the Department against all and any costs (including attorney and own client costs) which may be incurred by or awarded against the Department as a consequence of the defence of the claim.

18.8 Occupational Health and Safety Act, 1993

The Service Provider shall be responsible for ensuring compliance with all the provisions of the Occupational Health and Safety Act, 1993 and it indemnifies the Department against any claim which may arise in respect of such Act by its personnel against the Department.

19 SUB-CONTRACTING.

19.1 The Service Provider may not Subcontract the whole of or any portion of the Services in terms of this Agreement to any third party without the prior consent of the Department.

19.2 In the event the Service Provider wishes to Subcontract the whole of or any portion of the Services in terms of this Agreement, it shall apply to the Department in writing for consent to do so.

19.3 In its application, the Service Provider shall give the name of the Subcontractor, the Subcontractor's obligations, the proposed date of commencement of the Subcontract which shall include the fees payable to the Subcontractor, and a report of the background security check on the Subcontractor's suitability, financial and otherwise.

19.4 The Department may, in its sole and absolute discretion refuse consent to Subcontract. In the event the Department approves the Subcontracting of the whole of or any portion of the Services in terms of this Agreement, then:

19.4.1 the Service Provider shall ensure that the Subcontractor's B-BBEE level is equal or better than that of the Service Provider, their price is competitive, and they have the capacity to provide the Service;

19.4.2 such Subcontracting shall not absolve the Service Provider from responsibility for achieving the Service Levels or complying with its obligations in terms of this Agreement and the Service Provider hereby indemnifies and holds the Department harmless against any loss, harm, or damage which the Department may suffer because of such Subcontracting.

19.4.3 the Service Provider shall always remain the sole point of contact for the Department in respect of the acquisition of Services by the Department; and

19.4.4 no such Subcontracting shall have any effect on the Contract Price and charges payable by the Department to the Service Provider in terms of this Agreement.

20 CONFIDENTIALITY

20.1 The Service Provider acknowledge that all information relating to the Department confidential business and technical information, data, documents or other information necessary or useful for the carrying on by ESD of its business which shall include, but shall not be limited to operating procedures, quality control procedures, approximate operation personnel requirements, descriptions and trade names and trademarks, know how, techniques, technology, information relating to clients, customers, suppliers, relevant authorities, copyright, trade secrets and all goodwill relating to the business and any other intellectual property rights, technical data and documents in whole or in part, used by the Department in respect of its business; (**"Confidential Information"**), shall remain confidential and shall not be made known unless the Department has given written consent to do so.

21 INTELLECTUAL PROPERTY RIGHTS

- 21.1 All Intellectual Property Rights of the Contractor and/or third-party vest in the Contractor and/or third party, as appropriate.
- 21.2 All rights in the Department name and logo remain the absolute property of the Department.
- 21.3 The Contractor warrants that no aspect of the Services provided in terms thereof will infringe any Patent, Design, Copyright, Trademark or trade secret or other proprietary right of any third party.
- 21.4 The Contractor shall promptly notify the Department, in writing, of any infringement or apparent or threatened infringement or any circumstances which may potentially give rise to an infringement, or any actions, claims or demands in relation to any Intellectual Property Rights.
- 21.5 In the event the Department becomes aware of any such infringement, the Contractor shall, at its cost, defend the Department against any claim that the Services infringe any such third-party Intellectual Property Rights, provided that the Department gives notice to the Contractor of such claim and the Contractor controls the defence thereof. The Contractor further indemnifies the Department against, and undertakes that it will pay all costs, damages, and attorney fees, if any, finally awarded against the Department in any action which is attributable to such claim and will reimburse the Department with all costs reasonably incurred by the Department in connection with any such action.
- 21.6 Should any claim be made against the Department by any third party in terms of clause 23.1 above, the Department shall give the Contractor written notice thereof within 3 (three) days of becoming aware of such claim to enable the Contractor to take steps to contest it.
- 21.7 Should any third party succeed in its claim for the infringement of any third-party proprietary rights, the Contractor shall, at its discretion and

within 30 (thirty) days of the Services having been found to infringe, at its own cost:

- 21.7.1 obtain for the Department the right to continue using the subject of infringement or the parts thereof which constitute the infringement; or
- 21.7.2 replace the subject of infringement or the parts thereof which constitute the infringement with another product or service which does not infringe, and which is materially similar to the subject of infringement; or
- 21.7.3 alter the subject of infringement in such a way as to render it non-infringing while still in all respects operating in substantially the same manner as the subject of infringement; or
- 21.7.4 withdraw the subject of infringement.

22 DISPUTES

- 22.1 Should any dispute arise between the Parties in respect of or pursuant to this Agreement, then any part may give the other Party written notice of such dispute. or
- 22.2 Within 7 (seven) days of the declaration of such dispute, the Parties representatives or their nominated persons shall meet in the spirit of goodwill and endeavour to resolve the dispute, failing which (and without prejudice to any other alternative dispute resolution to which the Parties may agree, either prior to or concurrently with arbitration) the provisions of clause 24 shall apply.
- 22.3 If the Parties are unable to resolve the dispute within 14 (fourteen) days of the notice of the dispute (or such longer period as they may have agreed to in writing), then either Party may, on written notice to the other Party, require that the dispute be submitted to and decided by arbitration, in terms of the Arbitration Act, 42 of 1965 of South Africa ("the Arbitration Act").
- 22.4 This clause shall remain in effect even where this Agreement is terminated or cancelled for any reason.

23 LAWS AND JURISDICTION

- 23.1 Each Party submits to the exclusive jurisdiction of the South African courts in respect of any matter arising from or in connection with this Agreement including its termination. Each Party further consents to the jurisdiction of the High Court of South Africa (North Gauteng High Court (Pretoria)).

24 NOTICES AND COMMUNICATIONS

- 24.1 The Parties choose as their respective *domicilium citandi et executandi* (hereinafter referred to as the “*domicilium*”) and for the delivery of any notices arising out of the Agreement or its termination or cancellation, whether in respect of court process, notices or other documents or communications of whatsoever nature (including the exercise of any option), the address set out below:

24.1.1 THE DEPARTMENT:

Emergency Services
Headquarters, c/o Government Avenue and Becket Street,
Arcadia, Pretoria
Attention: Chief of Emergency Services Mr. Moshema P Mosia
Telephone: 012 358 2593
Email: moshemam@tshwane.gov.za

24.1.2 THE SERVICE PROVIDER:

3138B THATCHFIELD HILLS
RUA VISTA
CENTURION
0157
Attention: Mr. Muzi Vicent Lukhele
Telephone: 012 880 3155
Cell: 073 124 1535
Email: muzi.lukhele@gmail.com; info@sithembe.co.za

- 24.2 Any notice given and any payment made by any Party to another Party (hereinafter referred to as “the addressee”) which:

24.2.1 is delivered by hand during normal business hours of the addressee at the addressee's *domicilium*, shall be deemed, until the contrary is proved by the addressee, to have been received by the addressee at the time of delivery;

25 GENERAL AND MISCELLANEOUS

25.1 SOLE RECORD OF AGREEMENT

This Agreement constitutes the sole record of the agreement between the parties regarding the subject matter hereof. No party shall be bound by any express or implied term, representation, warranty, promise or the like not recorded herein.

25.2 NO AMENDMENT EXCEPT IN WRITING

No addition to, variation of, or agreed cancellation of, this Agreement shall be of any force or effect unless in writing and signed by or on behalf of the parties. Any alleged waiver of this requirement must itself be reduced to writing and signed by the relevant party to be of any effect.

25.3 WAIVERS

No relaxation or indulgence which any party may grant to any other shall constitute a waiver of the rights of that party and shall not preclude that party from exercising any rights which may have arisen in the past or which might arise in future.

25.4 SURVIVAL OF OBLIGATIONS

Any provision of this Agreement which contemplates performance or observance subsequent to any termination or expiration of this Agreement shall survive any termination or expiration of this Agreement and continue in full force and effect.

25.5 APPROVALS AND CONSENTS

An approval or consent given by a party under this Agreement shall only be valid if in writing and shall not relieve the other party from responsibility for complying with the requirements of this Agreement nor shall it be construed as a waiver of any rights under this Agreement except as and

to the extent otherwise expressly provided in such approval or consent, or elsewhere in this Agreement. Any alleged waiver of the requirement that the approval or consent must be in writing must itself be reduced to writing and signed by the relevant party to be of any effect.

26 EXECUTION

- 26.1 The signatories to this Agreement by their signature warrant their authority to enter into this Agreement and the capacity of their principal, if signing in a representative capacity, to enter into this Agreement.

Signed at _____ on this _____ day of _____ 2024

For and on behalf of **THE CITY OF TSHWANE METROPOLITAN MUNICIPALITY**

Signature: _____

(Duly represented by Mr. Moshema P Mosia Chief of Emergency Services

Signed at _____ on this _____ day of _____ 2024

For and on behalf of ***SITHEMBE TRANSPORTATION AND PROJECTS***

Signature: _____

(Duly represented by _____

ANNEXURE “A”

RESOLUTION OF THE BOARD

Resolution by the Board of Directors of **SITHEMBE TRANSPORTATION AND PROJECTS** REGISTRATION NUMBER: 2013/028173/07 made at a meeting held at _____ on _____ 20...

NOTED: **THAT SITHEMBE TRANSPORTATION** intends to enter into an Agreement with the City of Tshwane Metropolitan Municipality in terms of which **SITHEMBE TRANSPORTATION AND PROJECTS** shall provide the goods as set out in clause 8 above on the terms and subject to the conditions of the Agreement to which this resolution is attached as Annexure “A”.

RESOLVED:

THAT SITHEMBE TRANSPORTATION AND PROJECTS approves and enters into the Agreement on the terms and subject to the conditions of the Agreement to which this resolution is attached.

THAT _____ in his capacity as a director of **SITHEMBE TRANSPORTATION**, be and is hereby authorised to negotiate, settle and sign the Agreement attached hereto, and to sign all documentation and do all things necessary to give effect to the aforesaid resolutions on behalf of **SITHEMBE TRANSPORTATION AND PROJECTS**

Read and Confirmed

Chairman/Company Secretary